INITIATING COVERAGE · TASK 1 OF 5 · COMPANY RESEARCH

SITC International Holdings Company Limited (1308.HK)

Company Research Report

Date: 25 October 2026
Prepared by: AI-assisted equity research (Claude), for analyst review
Workflow: Task 1 of 5 (company research) in the initiating-coverage process. This document has no financial model, valuation, rating or price target; those are Tasks 2 and 3.

Depth and readiness. This is a working analysis of the business, and its readiness is *review-ready*. Company facts tie to SITC's own HKEX filings. Two input sets are weaker and keep it below decision-grade:

- Intra-Asia market sizing rests on trade-press reports of Container Trades Statistics (CTS) and Drewry data, not the datasets themselves.
- Peer financials come from trade press.

Data freeze.

- **Share price:** HK$47.68, the close on 23 October 2026 (Yahoo Finance).
- **Company operating data:** to 30 September 2026 (HKEX announcement of 22 October 2026).
- **Fleet rankings:** the Alphaliner Top 100 as published on 25 October 2026.
- **Currency:** SITC reports in US dollars, and company figures below are in US$ unless marked HK$.

Snapshot	Value	As of / source
Listing	HKEX Main Board, stock code 1308, listed 6 October 2010	2010 prospectus
Shares in issue	2,711,528,233	30 Sep 2026, HKEX monthly return
Market capitalization	about HK$129.3bn (about US$16.5bn at HK$7.84/US$)	23 Oct 2026, our estimate
Controlling shareholder	Yang Shaopeng family trust, 40.49%	30 Jun 2026, interim report
FY2025 revenue / profit	US$3,411.6m / US$1,230.4m	2025 annual report
1H26 revenue / profit	US$1,842.1m (+10.7%) / US$680.5m (+7.4%)	2026 interim results
9M26 volume / average freight rate	2,912,117 TEU (+5.9%) / US$825.9 per TEU (+9.4%)	22 Oct 2026 announcement
Fleet	120 vessels, 185,365 TEU (98 owned)	30 Jun 2026
Global rank by capacity	14th: 187,297 TEU on 121 ships	Alphaliner, 25 Oct 2026
Network	74 trade lanes, 79 ports, 441 port calls a week	30 Jun 2026
Employees (excluding crew)	2,438	30 Jun 2026

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1. COMPANY OVERVIEW

What SITC does

SITC is a Hong Kong-listed container shipping and logistics company that moves containers only within Asia. It runs a dense network of short-haul liner services between China, Japan, South Korea, Taiwan, Hong Kong and Southeast Asia, and has recently extended into India, Bangladesh and Myanmar. Alongside the ships it sells the land-side services a shipper needs to move a box from factory to consignee:

- freight forwarding;
- shipping agency and customs clearance;
- container depots and warehousing;
- land leasing.

These run mostly in China and Southeast Asia, partly through joint ventures.

Two things set SITC apart from the large container lines. First, it does not serve the long-haul east-west trades (Asia-Europe, transpacific) at all. Management states that it focuses "exclusively on servicing the Asia trade market". Second, it does so with small ships it mostly owns. At 30 June 2026:

- **Fleet:** 120 vessels with 185,365 TEU of capacity.
- **Ownership:** 98 owned (161,537 TEU, or 87% of capacity) and 22 chartered.
- **Sizes:** 96 ships below 2,000 TEU and 24 between 2,000 and 3,000 TEU, an average of about 1,545 TEU per ship (our calculation).
- **Age:** 10.6 years on average.

In our view, ships of this size suit the shallower drafts, shorter berths and smaller cargo parcels of many regional ports. They also let SITC run frequent fixed-day services: 441 port calls a week across 74 trade lanes.

How it makes money

Almost all revenue is freight. SITC charges a rate per container carried, and in its own description revenue moves with two numbers: volume carried and the average freight rate.

	2023	2024	2025	1H25	1H26	9M26
Container volume (TEU)	3,224,498	3,570,184	3,847,539	1,829,665	1,971,942	2,912,117
Average freight rate (US$/TEU, excluding slot exchange)	623.3	721.1	753.3	776.4	807.2	825.9
Revenue (US$m)	2,429.0	3,058.1	3,411.6	1,664.5	1,842.1	2,808.1
Profit for the period (US$m)	536.2	1,034.3	1,230.4	633.4	680.5	n/d

n/d = not disclosed; SITC reports profit half-yearly. Source: SITC annual and interim results, 9M26 operating statistics (all reported).

Revenue splits two ways:

- **Container shipping and supporting logistics income:** US$1,646.8m in 1H26, 89.4% of revenue.
- **Other container logistics income:** US$193.7m, 10.5%. This line covers forwarding, depots, warehousing and similar services, and grew 28.5% year on year.

SITC reports a single operating segment, so it gives no separate margins for the logistics business.

SITC splits cost of sales into four lines. In 1H26:

- **Equipment and cargo transportation:** US$539.4m.
- **Voyage costs:** US$226.7m, up 14.1% year on year. Management attributes the rise in cost of sales to higher volume and higher bunker prices.

- **Container shipping vessel costs:** US$180.2m.
- **Other container logistics costs:** US$161.5m.

Cost of sales per TEU rose about 3.4% to roughly US$562 in 1H26. Revenue per TEU rose to roughly US$934 (our calculations from reported totals). The gross margin was 39.8% in 1H26, against 40.2% a year earlier.

Scale and returns

SITC is the 14th largest container line in the world by capacity. That's the company's own ranking at the end of 2025, and Alphaliner's on 25 October 2026. It carried 3.85m TEU in 2025, about 8% of intra-Asia container volume (our estimate; see Section 7).

- **2025 results:** revenue US$3,411.6m, profit US$1,230.4m, a 36.1% net margin.
- **Returns:** return on equity of 50.0% and return on assets of 36.9% on the company's definitions.
- **Cash and debt:** operating cash flow of US$1,401.0m. Interest-bearing bank borrowings fell to US$18.9m from US$166.9m a year earlier, and the gearing ratio was 0%.
- **30 June 2026:** cash and time deposits of US$932.4m, against bank loans of US$33.1m. Total equity was US$2,501.2m at the end of 2025.

Geography

SITC's trade lanes and land network covered 79 ports in 16 countries and regions at 30 June 2026:

- **Northeast Asia:** mainland China, Japan, Korea, Taiwan and Hong Kong.
- **Southeast Asia:** Vietnam, Thailand, the Philippines, Cambodia, Indonesia, Singapore, Malaysia, Brunei and Myanmar.
- **South Asia:** Bangladesh (listed as "Bengal" in the filings) and India.

The group is incorporated in the Cayman Islands and headquartered at Shui On Centre, Wanchai, Hong Kong. Its operating roots and much of its land-side business are in Shandong (Qingdao) and Shanghai. Land-side capacity (including joint ventures) was about 2.23m m² of depots and 180,412 m² of warehousing at 30 June 2026.

Current trading

The 2026 numbers show a business still growing in volume, with rates turning up sharply in the third quarter:

- **Nine months to September:** revenue up 14.2% to US$2,808.1m, volume up 5.9% and the average rate up 9.4%.
- **Third quarter alone (derived from the cumulative disclosures):** volume up about 2.2% to 940,175 TEU, the rate up about 21.5% to roughly US$865 per TEU, and revenue up about 21.6% to US$966.0m (our estimates).

Management attributes 2026 conditions to geopolitical disruption tightening supply. The industry section describes the conflict involving Iran from late February 2026 and its effect on fuel and freight rates.

Source note: SITC 2025 Annual Report (24 Mar 2026), 2026 interim results (19 Aug 2026), 9M26 operating statistics (22 Oct 2026), HKEX monthly return (6 Oct 2026); Alphaliner Top 100 (25 Oct 2026); price from Yahoo Finance (23 Oct 2026).

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2. COMPANY HISTORY

State-owned origins in Shandong (1991–2000)

SITC traces back to Shandong International Transportation Corporation ("SITC Corp"). It was a state-owned enterprise set up in May 1991 by Shandong Foreign Trade Corporation, an investment holding company of the Shandong provincial government, with registered capital of RMB5m. Its first business was freight forwarding. Yang Shaopeng, later chairman and still the controlling shareholder, was its deputy general manager. The "SITC" trademark comes from the corporation's initials.

The early years built the two halves of today's business together:

- **May 1992:** bought its first vessel and began serving China–Japan lanes.
- **October 1992:** opened a warehousing and depot business.

- **January 1994:** added China–Korea services.
- **December 1995:** set up SITC Japan Co., its first operating subsidiary outside China.
- **October 1996:** renamed SITC Maritime (Group) Co., with registered capital raised to RMB20m.

Privatization (2000–2001)

In December 2000, SITC Group converted from a state-owned enterprise to majority private ownership:

1. It first distributed certain assets, mainly real estate, to its state shareholder, reducing that shareholder's registered capital to RMB6m.
2. Management and employees then injected RMB24m through an employee shareholding association, including Yang Shaopeng with his own funds. That left employees with 80% and the state shareholder with 20%.
3. In September 2001, the state shareholder sold its remaining 20% for RMB6m, its original investment, to an investment company controlled by SITC management. The company became fully private.

According to the IPO prospectus, PRC counsel confirmed that the restructuring had the necessary approvals.

Building the regional network (2002–2009)

After privatization, SITC widened its land-side reach and moved south:

- **2002:** formed logistics joint ventures with Maersk Logistics, Itochu and Tsingtao Beer.
- **2003:** opened the Qingdao Logistics Park.
- **June 2004:** began serving lanes between China and the ASEAN countries.
- **2009:** set up joint ventures in Vietnam, the Philippines and Thailand.

The prospectus said that by 2008 SITC's China–Japan routes were the largest of any carrier by volume. In 2009, its China–Vietnam and China–Philippines routes each ranked first.

Hong Kong listing (2010)

SITC International Holdings listed on the Hong Kong Stock Exchange on 6 October 2010. It sold 650m shares (plus an over-allotment option) at HK$4.78, the bottom of its HK$4.78–6.28 range, raising about HK$3.1bn before the over-allotment. The prospectus earmarked the proceeds:

- about 45% for 15–25 new or second-hand vessels;
- 20% for containers;
- 25% for logistics;
- 10% for working capital.

The business at listing. In 2009 SITC carried 1,186,842 TEU, about 5% of Drewry's 23.3m TEU intra-Asia market (our calculation). At 30 June 2010 it operated 42 vessels totalling 37,256 TEU, with an average age of 5.7 years and most of the fleet of a single 1,000 TEU type. Only 15 of those ships were owned; the other 27 were time-chartered.

What changed after listing. The prospectus set out the aim of raising the owned share of the fleet, and that is the main thing that changed after 2010. By June 2026, 98 of 120 vessels were owned.

Reorganization and steady growth (2012–2020)

In December 2012 the operations were reorganized under two presidents:

- **Xue Mingyuan** ran SITC Shipping Group and SITC Container Lines.
- **Lai Zhiyong** ran SITC Logistics Group.

Both remain executive directors today. For most of the 2010s SITC also had a small dry-bulk leasing business, which its results reported separately until at least 2022. Today the group reports a single container-logistics segment.

Growth through 2020 was steady:

	2017	2020
Volume (TEU)	2,385,881	2,614,203
Average freight rate (US$/TEU)	490.5	545.1
Revenue (US$m)	1,348.4	1,685.2
Profit (US$m)	190.1	353.7

Boom, bust and recovery (2021–2025)

The pandemic freight boom transformed earnings:

- **2021:** the average rate rose 51.7% to US$826.9 per TEU, and volume rose 20.2% to 3.14m TEU. Profit was US$1,167.2m.
- **2022:** the rate rose another 33.0% to US$1,099.6, and profit peaked at US$1,949.8m.
- **2023:** rates fell 43.3% to US$623.3 and volume dipped 1.1%. Profit dropped 73% to US$536.2m, but the company stayed solidly profitable at the cycle low.
- **2024:** Red Sea diversions absorbed global capacity. SITC's rate recovered 15.7% to US$721.1 and volume grew 10.7% to 3.57m TEU, taking profit to US$1,034.3m.
- **2025:** volume reached a record 3.85m TEU and profit US$1,230.4m.

Leadership transition and fleet renewal (2024–2026)

On 7 March 2024, Yang Shaopeng resigned as executive director and chairman and became Honorary Life Chairman. Yang Xianxiang, chief executive since 2008, became chairman; Xue Mingyuan became chief executive; and Yang Xin, the founder's daughter, became vice chairman.

The new team has kept ordering ships, which management describes as orders "placed at a time of low vessel price":

- **August 2025:** four 2,700 TEU vessels from Huanghai Shipbuilding, at up to US$38.18m each, for delivery between December 2027 and July 2028.
- **January 2026:** options exercised for two more (US$76.36m in total).
- **December 2025 and March 2026:** ten 1,100 TEU vessels from Jiangsu Yangzi Hongyuan and Jiangsu New Yangzi: four under contracts signed in December 2025, and six under options exercised in March 2026 at US$22.8m each, due between March and August 2028.

At 30 June 2026, SITC had 30 vessels contracted and not yet delivered, and US$763.3m of capital commitments for vessels. Recent network moves include a China–East India service through Chennai and a Thai logistics joint venture, both in 2025, and a trial of Qinzhou–Jakarta–Semarang sea-rail transport.

Source note: 2010 IPO prospectus ("Our History and Reorganization"); SITC annual results announcements 2018–2025; announcements of 7 Mar 2024, 3 Aug 2025, 30 Jan 2026 and 26 Mar 2026; 2026 interim report. IPO pricing from FinanceAsia and TradeWinds (Oct 2010).

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3. MANAGEMENT TEAM

SITC is run by executives who have spent their careers inside the group. All four executive directors joined SITC companies in the 1990s, and each holds an MBA from China Europe International Business School (CEIBS). The founder no longer sits on the board, but his family trust holds 40.49% of the shares and his daughter is vice chairman.

Yang Xianxiang, Chairman and Executive Director

Yang Xianxiang, 59, has chaired the board since March 2024 and sits on the remuneration and nomination committees. He has been a director since January 2008 and an executive director since April 2010. Before becoming chairman he was chief executive for sixteen years, from January 2008 to March 2024, which makes him the main architect of the listed company as it exists today.

His shipping career spans more than 39 years:

- **July 1987 to July 1997:** Lufeng Shipping, a container shipping company, where he rose to manager.

- **August 1997 to December 2001:** general manager of SITC Container Lines (Shandong).
- **2002 to 2007:** executive vice president of SITC Maritime Group from 2002, then its president from January 2005 to May 2007.
- **May 2007 to January 2008:** president of SITC Container Lines and chief executive of SITC Steamship (Shanghai), before taking the group CEO role.

He holds an MBA from Asia International Open University (Macau, 2000) and an MBA from CEIBS (2006). He has also completed executive programs at Tsinghua University (2003), Fudan University (Sinology, 2009), Cheung Kong Graduate School of Business (2010) and CEIBS (Global CEO, 2013).

Outside SITC, he has been an independent non-executive director of JS Global Lifestyle (1691.HK) since 2019, and a director of Shanghai Fortune Techgroup (300493.SZ) since 2021.

He is SITC's second-largest shareholder. At the end of 2025 his company, JIXIANG Limited, held 233,814,950 shares (8.66%), and he held a further 9,716,296 shares directly. His spouse owns 18.75% of SITC Maritime Group (Qingdao SITC), a connected company that transacts with the listed group. His 2025 remuneration was US$6.22m, the highest on the board.

Track record (our assessment). During his tenure as CEO:

- volume rose from 1.19m TEU in 2009 to 3.22m TEU in 2023;
- the fleet grew from 37,256 TEU, with only 15 of 42 vessels owned, to 162,851 TEU by the end of 2023;
- the company stayed profitable in every year of the 2021–2023 boom-and-bust.

By the end of 2025, 99 of the 119 ships were owned. The strategy he set (a regional focus, owned small tonnage, and sea-land integration) is unchanged under his successor.

Xue Mingyuan, Chief Executive Officer and Executive Director

Xue Mingyuan, 52, became chief executive in March 2024. He has been an executive director since March 2013 and is a member of the risk management committee. Since December 2012 he has been president of SITC Shipping Group and general manager of SITC Container Lines, the operating heart of the business. In practice he has run the liner operation for more than a decade, and the 2024 change formalized that role at group level.

Xue has more than 29 years of shipping experience, all of it at SITC companies. Between August 1997 and November 2012 he held a sequence of commercial and country roles:

- export supervisor at SITC Lianji (Shandong);
- manager of the customer service department, and of the sales and marketing department, at SITC Container Lines;
- deputy general manager, then general manager, of SITC Container Lines (Korea);
- general manager of SITC Container Lines.

That path, from export desk to the Korea country business to the whole liner network, gave him the customer-facing and network-planning experience the job requires.

He holds a master's degree in international shipping and logistics management from The Hong Kong Polytechnic University (2004) and an MBA from CEIBS (2012).

His spouse owns 3.12% of Qingdao SITC. His 2025 remuneration was US$4.09m.

Track record (our assessment). He has run the liner operation since December 2012, through both the boom and the downturn. Two results from the period he has led as group CEO stand out:

- **2025:** volume grew 7.8% while the average rate rose 4.5%. Over the same year, Drewry's intra-Asia container index ended roughly where it started (per The Loadstar), so SITC's rates outperformed the market.
- **2026 to date:** volume rose 7.8% in 1H26 even though the number of trade lanes fell from 82 to 74 and weekly port calls from 489 to 441. In our reading, that points to deliberate network pruning toward denser, fuller services.

The test ahead is how he deploys the ships on order, roughly 2027–2028, into a market where competitors are adding much more capacity.

Liu Kecheng, Chief Financial Officer and Executive Director

Liu Kecheng, 52, has been chief financial officer since May 2013. He is also an executive director, an authorized representative of the company, a member of the risk management committee, and, since July 2017, general manager of the group's finance center and investment center.

He has been a director since December 2006 and an executive director since April 2010. He was joint company secretary from September 2010 to May 2013. From October 2010 he was also director for investment and securities, responsible for investments and equity funding.

His career:

- **July 1994 to June 1998:** finance department of Shandong Foreign Trade Corporation, SITC's original state shareholder.
- **From 1998:** joined SITC as finance manager. He then worked through deputy general manager roles in the finance and planning centers, and head of investment and development, before the CFO and investment-management posts he now holds.

He graduated from Shandong Foreign Economic and Trade School in 1994 and holds a CEIBS MBA (2007). Since December 2020 he has been a director of Hisense Group Holding, the parent of the Qingdao-based appliance maker. Hisense is also a customer of SITC's logistics arm: it gave SITC Logistics a strategic partner award in 2025.

His spouse owns 5.33% of Qingdao SITC. His 2025 remuneration was US$2.13m.

Track record (our assessment). Liu has run SITC's balance sheet conservatively:

- **Minimal debt:** bank borrowings were US$18.9m at the end of 2025, and the company's gearing ratio was 0% at both the end of 2025 and 30 June 2026.
- **Self-funding:** management expects internal resources and bank borrowings to cover the newbuild program.
- **Payouts:** the dividend policy allows payouts of up to 100% of distributable profit. FY2025 dividends of HK$3.00 a share (interim HK$1.30, special HK$0.70, final HK$1.00) came to roughly 84% of basic EPS (our estimate at HK$7.8 per US$).

The trade-off is that holding little cash back leaves less of a buffer if rates fall sharply.

Lai Zhiyong, President of SITC Logistics Group and Executive Director

Lai Zhiyong, 53, has been an executive director since March 2013 and president of SITC Logistics Group since December 2012. That makes him responsible for the land-side half of SITC's "sea-land integrated" model: forwarding, agency, depots, warehousing and the logistics joint ventures. These include the country joint ventures that date back to the 2009 Vietnam, Philippines and Thailand partnerships.

He graduated in international trade from Ocean University of China in 1994 and holds a CEIBS MBA (2017). He has more than 30 years of shipping experience. Like Xue Mingyuan, he came up through the liner business before taking over logistics, so he knows both sides of the sea-land offer. Between August 1997 and November 2012 he held:

- the import supervisor post at SITC Lianji (Shandong);
- manager of the import, operations and marketing departments at SITC Container Lines;
- general manager of SITC Container Lines (Hong Kong).

The logistics business he runs is small next to shipping but growing:

- **Revenue:** other container logistics income was US$331.2m in 2025 and US$193.7m in 1H26 (+28.5%).
- **Joint ventures:** share of joint-venture profits, mostly from freight forwarders and depot companies, was US$31.1m in 2025 and US$16.8m in 1H26 (+26.3%).
- **Recent projects:** a Thai logistics joint venture (SITC Logistics ASEAN), a Qinzhou–Jakarta–Semarang sea-rail trial, and a double-layer automated container yard that the 2025 annual report calls the world's first.
- **Customers:** his division received Hisense Group's 2025 Strategic Partner Award.

His spouse owns 2.07% of Qingdao SITC. His 2025 remuneration was US$1.62m, the lowest of the four executive directors.

Track record (our assessment). Logistics gives SITC customer stickiness and a second source of earnings that is less exposed to freight rates. But SITC does not report the segment's profitability separately, so his record can't yet be judged on returns, only on growth.

Board composition and governance

The board. There are eight directors:

- **Executive:** Yang Xianxiang, Xue Mingyuan, Liu Kecheng and Lai Zhiyong.
- **Non-executive vice chairman:** Yang Xin, the founder's daughter, who chairs the sustainable development committee. She is vice chairman and general manager of a Qingdao commercial company affiliated with Hisense, and was previously at HSBC China.
- **Independent non-executive:** three, which is the Hong Kong minimum of at least three and one-third of the board.
  - Tse Siu Ngan, a former technology executive (HP, SAP, IBM), is the lead independent director.
  - Dr Liu Ka Ying (Rebecca), a certified public accountant, chairs the audit committee.
  - Dr Hu Mantian (Mandy), a Chinese University of Hong Kong academic, chairs the nomination and disclosure committees.

Ownership. Insider ownership is high. The founder's trust holds 40.49%. Yang Xianxiang held 8.66% through JIXIANG Limited plus a further 9,716,296 shares directly at the end of 2025. Together they control just under half the company (our estimate).

Pay. The board was paid US$14.9m in 2025, about 1.2% of profit. Most executive pay is performance-related bonuses and share awards: 84% of the chairman's US$6.22m, for example. A share scheme was adopted in April 2024, with awards granted in 2024, 2025 and 2026.

Connected parties. The main governance issue is SITC Maritime Group (Qingdao SITC), a connected company outside the listed group. The founder's wife owns 44.75%, the four executive directors' wives own 29.27% between them, and 178 current and former employees own the rest. It holds businesses excluded from the founder's non-compete deed. For example, its subsidiary holds the mainland China–Taiwan route licenses, using vessels chartered from SITC, so the charter revenue stays with the listed group.

Transactions with Qingdao SITC continue. In April 2026, for example, SITC sold a single-vessel company to a Qingdao SITC subsidiary for US$12.16m and chartered the vessel back for 15 years at US$2,221.54 a day. The full charter hire, equal to the sale price, was paid up front. Such deals are small and exempt under the Listing Rules. But they leave the executives' families on both sides of some group transactions.

Source note: 2025 Annual Report (Directors and Senior Management; Report of the Board of Directors; Note 9 directors' remuneration); 2026 interim report (shareholdings at 30 Jun 2026); announcements of 7 Mar 2024, 18 Dec 2024 (board committees) and 27 Apr 2026 (connected transactions); 22 Oct 2026 announcement (board list).

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4. PRODUCTS & SERVICES

Container liner services

SITC's core product is scheduled, fixed-day container services within Asia. At 30 June 2026 it operated 74 trade lanes:

- 42 on its own (our calculation);
- 10 through joint services with other carriers;
- 22 through container slot exchanges, where carriers swap space on each other's ships.

This works out to 441 port calls a week.

The networks. The network falls into three groups:

- **Northeast Asia:** China–Japan and China–Korea, SITC's original markets, plus Taiwan and Hong Kong links.
- **Southeast Asia:** China to and within Vietnam, Thailand, the Philippines, Indonesia, Malaysia, Singapore, Cambodia, Brunei and Myanmar.

- **South Asia:** China to Bangladesh and India, the newest extension (the China–East India service via Chennai began in 2025).

Ships. The fleet is sized for these trades. Of 120 ships, 96 are below 2,000 TEU and 24 are 2,000–3,000 TEU, an average of about 1,545 TEU. On a typical intra-Asia lane, cargo is spread across many smaller ports, so frequent calls with small ships usually serve customers better than infrequent calls with large ones (our judgement).

Owning most of the fleet (98 of 120 vessels, 87% of capacity) gives SITC a cost base that does not reset when charter rates spike. Management's stated approach is to buy and order ships when prices are low, "to secure a long-term cost competitive position".

Standardization is an old habit. At the IPO, 85.7% of the fleet was a single 1,000 TEU type, and the prospectus presented this "single-type fleet" as a source of efficiency. Interchangeable ships can be swapped between lanes and share crews, spare parts and maintenance routines. The current order book continues the pattern, with batches of identical 1,100 TEU and 2,700 TEU designs.

Pricing. Rates are quoted per box, and SITC discloses one average across all lanes:

Period	Average rate (US$/TEU)
2025	753.3
1H26	807.2
9M26	825.9
3Q26 (our estimate)	about 865

For comparison, COSCO Shipping Holdings (COSCO plus OOCL) reported intra-Asia revenue of US$883 per TEU in 1H26, but on its own definitions. SITC does not disclose:

- its split between contract and spot cargo;
- its revenue by lane;
- its pass-through mechanism for fuel surcharges.

That limits how precisely the rate line can be modelled in Task 2.

Logistics services

SITC Logistics provides the services around the ocean leg:

- international freight forwarding and shipping agency;
- customs declaration and inspection;
- less-than-container-load consolidation;
- container depots and yards;
- warehousing;
- project logistics, multimodal and sea-rail transport;
- cross-border e-commerce logistics;
- land leasing.

At 30 June 2026 it operated, including through joint ventures, about 2.23m m² of depot space and 180,412 m² of warehousing. Logistics income was US$331.2m in 2025 (about 10% of revenue) and grew 28.5% in 1H26. Joint ventures in forwarding and depots added US$31.1m of profit in 2025.

Fleet and order book

	31 Dec 2025	30 Jun 2026
Vessels operated	119	120
Capacity (TEU)	184,961	185,365
Owned vessels (TEU)	99 (162,444)	98 (161,537)
Chartered vessels (TEU)	20 (22,517)	22 (23,828)
Vessels below 2,000 TEU / 2,000–3,000 TEU	95 / 24	96 / 24
Average age (years, as reported)	9.4	10.6

The two average-age figures are hard to reconcile over six months; see the data notes.

On order at 30 June 2026 were 30 contracted vessels: 20 at Huanghai and 10 at the Yangzijiang group yards. The orders disclosed since August 2025 are 2,700 TEU and 1,100 TEU designs for delivery in 2027–2028. Capital commitments for vessels were US$763.3m. Alphaliner's estimate of the order book is 37 ships and 66,232 TEU, equal to 35.4% of the current fleet.

What differentiates the offer

SITC's offer to a shipper rests on four things:

- **Coverage:** port coverage and sailing frequency within Asia.
- **Reliability:** the reliability that comes from controlling owned ships.
- **Door to door:** the ability to sell an end-to-end service through its own forwarding and depot network.
- **Price:** a low unit cost that lets it price competitively and still earn margins well above the large carriers' (our judgement).

It does not compete on ship size, long-haul connectivity or alliance membership.

Source note: 2025 Annual Report (MD&A); 2026 interim results and report; newbuild announcements (3 Aug 2025, 30 Jan 2026, 26 Mar 2026); SITC website (service list); Alphaliner Top 100 (25 Oct 2026); COSCO Shipping Holdings 1H26 results as reported by Container News (6 Sep 2026).

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5. CUSTOMERS & GO-TO-MARKET

Who the customers are

SITC's customers are cargo owners (manufacturers, exporters and importers) and the forwarders and logistics companies that book on their behalf. SITC does not publish a customer count or a split between direct shippers and forwarders. It does disclose that its five largest customers and its five largest suppliers each account for less than 30%. The filing measures both against total revenue.

The cargo mix follows Asian manufacturing supply chains. Two patterns stand out:

- **Component and intermediate goods:** these move from China to assembly locations in Southeast Asia, and finished goods move within the region.
- **Japan and Korea trades:** these are SITC's original markets and relatively mature.

Management attributes 2025 demand to "Chinese exports, industrial relocation, and the uncertainty of trade policies". In other words, manufacturing has been moving out of China into Southeast Asia, which adds intra-Asia legs to supply chains.

Some long relationships are visible in the filings:

- **Early joint-venture partners:** SITC's early logistics joint ventures were with Maersk Logistics, Itochu and Tsingtao Beer (2002).
- **Hisense:** the Qingdao-based appliance maker named SITC Logistics a 2025 strategic partner. SITC's CFO sits on the board of Hisense's parent, and the vice chairman runs a Hisense-affiliated company.

How SITC sells

SITC sells through its own country subsidiaries and agencies. These include SITC Japan (its first overseas subsidiary, 1995) and companies in Korea, Hong Kong, Taiwan, Thailand, Indonesia, Vietnam and the Philippines, several of them joint ventures. Freight forwarding, much of it in joint ventures, gives it a second channel to customers.

The local presence matters most in Japan and Korea, where SITC has served shippers since 1992 and 1994. Those markets are mature, and in our judgement relationships and schedule reliability count for more there than in newer lanes.

Because SITC runs weekly fixed-day services, the commercial cycle is short. Cargo is booked shipment by shipment or under short-term rate agreements, and customers can switch carriers quickly if service or price slips (our judgement; the company does not disclose contract terms).

Partnerships with other carriers

Partnerships with other carriers extend the network without extra ships: 10 lanes run as joint services and 22 through slot exchanges. These arrangements let SITC offer more port pairs than its own fleet could cover. In return, part of the network depends on partners' schedules and on capacity decisions SITC doesn't control.

Pricing behavior

SITC's average rate tends to move less than market indices. In 2025 its rate rose 4.5% while Drewry's Intra-Asia Container Index ended the year roughly where it started. In January 2026 the index stood about 12% below its level a year earlier (per The Loadstar). That steadiness is consistent with a customer base built on service frequency and land-side bundling rather than spot price alone. A gap that has lasted one year is not proof, though, and the 2023 rate fall of 43% shows SITC is far from immune to the market (our judgement).

Source note: 2025 Annual Report (major customers and suppliers; milestones); 2010 prospectus (milestones); SITC website (subsidiary list); The Loadstar, 28 Jan 2026.

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6. INDUSTRY OVERVIEW

Definition and size

SITC competes in intra-Asia container shipping: containerized cargo whose origin and destination are both in Asia. Data providers draw the boundary differently. The Container Trades Statistics (CTS) and Drewry figures below differ by several million TEU, most likely because their trade definitions differ; we have not seen either provider's definition. Figures from different sources should not be mixed without saying so.

On CTS data, as reported by the trade press:

- **2024:** intra-Asia volumes were 45.8m TEU.
- **2025:** the trade grew about 5%, to roughly 48m TEU (our estimate from the reported growth rate).
- **Global context:** global container volumes reached a record 192.9m TEU in 2025, up from 184.3m TEU. Intra-Asia was the largest single trade, more than twice the size of Far East–North America.

A Drewry study reported by India Seatrade News put intra-Asia volume at 52m TEU in 2023, growing at 3.6% a year from 2019 to 2023. At SITC's IPO, Drewry put the market at 23.3m TEU (2009).

Growth drivers

These are our summary of the main drivers. In SITC's own disclosures, the evidence for them is limited to management's commentary.

- **Supply-chain relocation.** Manufacturers have moved assembly out of China into Vietnam, Thailand, Indonesia, Malaysia and India. Components and capital goods still flow from China to the new plants, so relocation adds intra-Asia legs to the supply chain. SITC's management cites "industrial relocation" as a 2025 demand driver.
- **Trade policy.** US tariffs on Chinese goods have accelerated relocation. They have also added transshipment and re-export flows through Southeast Asia, although tighter rules of origin could reverse some of this.

- **Regional demand.** Rising consumption in Southeast and South Asia, and regional trade agreements, support import growth independent of the China-to-the-West trade.
- **Port investment.** New terminals across Southeast Asia and India open new direct port pairs.

Supply and capacity

On Alphaliner's 25 October 2026 table, the 100 largest container lines operate 34.1m TEU and have 13.6m TEU on order, an order book equal to 39.9% of their fleet (our calculation from the table). Linerlytica expected deliveries of 2.9m TEU in 2027 and 3.8m TEU in 2028 (September 2025).

Most of this is large tonnage for east-west trades. Ships pushed out of those trades as bigger vessels arrive tend to move down into regional trades, intra-Asia included. Within the sub-3,000 TEU feeder size that SITC uses, trade press describes historically low ordering and an ageing fleet. SITC's chairman has said this is why the company keeps ordering. But regional carriers are now ordering heavily (see Section 7), and HMM of Korea plans 22 ships of 1,800–2,800 TEU from 2028.

Freight rates and costs

Intra-Asia rates are volatile and seasonal:

- **2025:** Drewry's Intra-Asia Container Index finished the year roughly flat, and CTS's global price index ended 2025 19.8% lower year on year.
- **Spring 2026:** the conflict involving Iran from late February 2026, and the disruption around the Strait of Hormuz, pushed fuel and freight rates up. The index rose from US$616 per 40ft container in mid-March to US$1,008 by late May, about 83% above pre-conflict levels per Drewry.
- **Summer 2026:** by late July Drewry reported softening. Shanghai–Kaohsiung was US$1,433 per 40ft, down 4% on the week, and the SCFI Shanghai–Southeast Asia rate was US$628 per TEU on 24 July.

The trade is also seasonal. Volumes usually dip around Lunar New Year and build through a July–October peak, so a single quarter's rate is a weak guide to the year. That is why the Q3 2026 strength should be read against Q3 2025, not against Q2.

Fuel is the swing cost. Singapore very low sulfur fuel oil was about US$525 a tonne on 27 February 2026 and above US$1,100 by late March. By September it had eased but stayed above pre-conflict levels (trade press). SITC's voyage costs rose 14.1% in 1H26.

Structure and dynamics

In our judgement, the intra-Asia market is far less concentrated than the east-west trades. Three groups compete:

- **Global carriers:** these run large regional networks. COSCO and OOCL together carried 4.74m TEU intra-Asia in 1H26, up 5%.
- **Regional specialists:** SITC, Wan Hai, KMTC, Sinokor, TS Lines, RCL, Interasia and others.
- **Feeder and newer operators:** X-Press Feeders, and fast-growing Chinese lines such as CULines and Zhonggu.

Barriers to entry. Barriers are moderate. Chartering ships is easy, so capacity can enter quickly. The harder assets to replicate are:

- dense port coverage and fixed-day frequency;
- terminal and depot access;
- local sales offices and shipper relationships.

Regulation. Ships trading within Asia face the International Maritime Organization's efficiency rules (EEXI and CII ratings) and the industry's coming shift to low-carbon fuels. Global carbon-pricing measures are under negotiation at the IMO, and their status should be checked before the report is assembled. Cabotage rules restrict foreign carriers within China and some Southeast Asian countries. SITC routes its mainland China–Taiwan services through a connected company that holds those route licenses (Section 3).

Source note: CTS data as reported by Portcalls (2025 full year) and The Loadstar (28 Jan 2026); Drewry via India Seatrade News, Hellenic Shipping News and The Loadstar (2026 index readings); bunker prices via FreightWaves, Journal of Commerce and Seatrade Maritime (Mar–Sep 2026); Alphaliner Top 100 (25 Oct 2026); Linerlytica via The Loadstar (12 Sep 2025); 2025 Annual Report.

7. COMPETITIVE LANDSCAPE

The peer set

The table compares SITC with ten carriers active in intra-Asia, on Alphaliner's fleet data for one date. "Chartered" is the share of each fleet's capacity that is chartered rather than owned, and "Order book" is capacity on order as a share of the current fleet.

Carrier	Rank	Capacity (TEU)	Ships	Chartered	Order book	Notes
COSCO Group (incl. OOCL)	4	3,673,704	566	39.4%	51.3%	Largest intra-Asia carrier by volume; 4.74m TEU intra-Asia in 1H26
Wan Hai Lines	11	633,064	125	0.0%	78.3%	Taiwan; intra-Asia core plus long-haul; heavy newbuild program
PIL	12	470,419	101	26.3%	65.0%	Singapore; Asia, Africa, Middle East and Oceania network
X-Press Feeders	13	191,458	104	39.0%	49.5%	Singapore; mainly feeder services sold to other carriers
SITC	**14**	**187,297**	**121**	**12.6%**	**35.4%**	
KMTC	15	172,576	67	40.1%	37.5%	Korea; 2025 revenue about US$2.1bn
Sinokor (incl. Heung-A)	19	132,526	69	1.3%	39.2%	Korea; largest private Korean line
TS Lines	20	129,100	46	17.8%	51.5%	Taiwan; HK-listed (2510.HK) since Nov 2024
CULines	22	109,433	47	83.4%	83.8%	China; mostly chartered fleet, rapid growth
RCL	23	100,409	34	10.6%	148.3%	Thailand-listed; ordering 14,000 TEU ships for long haul
Interasia Lines	25	85,077	28	24.1%	76.5%	Taiwan

Source: Alphaliner Top 100, 25 Oct 2026 (reported). COSCO intra-Asia volume from Container News (6 Sep 2026); KMTC revenue from The Loadstar; TS Lines listing from Seatrade Maritime.

Peer notes

- **COSCO Group (with OOCL).** This is the scale competitor. Its combined intra-Asia volume in 1H26 was about 2.4 times SITC's, at a higher reported revenue per TEU (US$883), though on its own definitions. It has a large owned and chartered fleet and an order book of 51% of its fleet. It can also cross-sell long-haul and intra-Asia services to the same customers.
- **Wan Hai Lines.** Wan Hai is the regional specialist closest to SITC in model: it owns its whole fleet and has a long intra-Asia history. It is now more than three times SITC's size and has the largest order book in the group in absolute terms: 495,800 TEU, or 78% of its fleet. It also has long-haul exposure SITC lacks. Its 1H26 net profit nearly doubled to about NT$19.2bn (trade press).
- **PIL.** Larger and broader than SITC, PIL serves Africa, the Middle East and Oceania as well as Asia. It overlaps with SITC on Southeast Asian lanes.
- **X-Press Feeders.** Mostly a business-to-business feeder that moves cargo for the large carriers. It competes with SITC for ships and port slots more than for shippers.
- **KMTC and Sinokor.** The leading Korean intra-Asia lines. KMTC reported 2025 revenue of about US$2.1bn, with operating profit down 37% to US$182.9m. Sinokor (which absorbed Heung-A's container business) owns almost all its fleet. Both compete directly on Korea–China, Korea–Japan and Korea–Southeast Asia lanes.
- **TS Lines.** A Taiwanese intra-Asia line that listed in Hong Kong in November 2024 at HK$4.18 a share, raising about HK$1.05bn. It is a listed peer with a similar regional focus but more long-haul ambition and a heavier order book.
- **CULines and Zhonggu.** Fast-growing Chinese operators with mostly chartered fleets and very large order books relative to fleet (84% and 172%). They are the most likely source of price-led competition on China–Southeast Asia

lanes (our judgement).

- **RCL and Interasia.** Mid-sized Thai and Taiwanese regional lines, both with large order books. RCL is ordering 14,000 TEU ships, which signals a move toward long-haul trades. Its 2025 net profit fell 10.9% to THB8.2bn.

Positioning

On three dimensions SITC sits at the conservative end of its peer group:

- **Ownership:** 87% of capacity is owned. Only Wan Hai, Sinokor and RCL are more fully owned.
- **Ship size:** its average ship, at about 1,550 TEU, is the smallest in the table.
- **Order book:** at 35% of its fleet, it is the lowest in the table. Across the intra-Asia peer set of 15 regional carriers, capacity on order equals 63.9% of current fleet (our calculation from Alphaliner).

SITC is therefore set to grow its fleet more slowly than its competitors. That protects returns if the new capacity depresses rates, but it costs share if demand absorbs it.

Market share

SITC carried 3.85m TEU in 2025, about 8% of CTS-measured intra-Asia volume (our estimate, consistent with The Loadstar's estimate of about 8%). At its IPO, SITC's 1.19m TEU was about 5% of Drewry's 2009 market, so on these two measures it has gained share over 16 years. Because the market definitions differ, the trend is more reliable than the precise share figures. SITC's volume grew 7.6% a year from 2019 to 2025, against roughly 3.6% a year for Drewry's market measure over 2019–2023.

Advantages and vulnerabilities

Advantages.

- An owned, paid-for fleet of small ships, and so a cost base largely insulated from the charter market.
- A dense, high-frequency network in Northeast and Southeast Asia, with more than 30 years of customer relationships in China–Japan and China–Korea.
- Land-side logistics that bundle the ocean leg.
- Net cash and very high returns on equity.

Vulnerabilities.

- **Scale:** it is a fraction of COSCO's size and smaller than Wan Hai or PIL.
- **Competitors' capacity:** peers are adding much more capacity, including HMM's planned 1,800–2,800 TEU ships, which are sizes that suit SITC's lanes.
- **China exposure:** SITC is heavily exposed to Chinese trade flows.
- **Ageing fleet:** the average age is 10.6 years (June 2026), and the replacement ships arrive only in 2027–2028.

Source note: Alphaliner Top 100 (25 Oct 2026); Container News (COSCO 1H26, 6 Sep 2026; Wan Hai 1H26; RCL 2025 results); The Loadstar (KMTC and Sinokor 2025 results; SITC share, 28 Jan 2026); Seatrade Maritime (TS Lines IPO); 2010 prospectus.

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8. MARKET OPPORTUNITY

Total addressable market

We size SITC's addressable market as intra-Asia container freight revenue. Using about 48m TEU of 2025 volume (CTS-based, our estimate) and an average revenue of US$750–885 per TEU gives a market of roughly US$36–42bn in 2025. The price range is bounded by SITC's own US$753 per TEU in 2025 and COSCO's reported US$883 per TEU for intra-Asia in 1H26. Every input here is a range or an estimate, so the figure is a sizing, not a measurement.

Serviceable market

SITC serves Northeast Asia, China–Southeast Asia, intra-Southeast Asia and, recently, China–South Asia. It does not serve the Gulf, the Middle East or most of the Indian subcontinent's own trades. We assume 70–85% of the intra-Asia market is within reach of SITC's current network, a serviceable market of about US$25–36bn. The share is our assumption, and the result is sensitive to it.

Obtained share

SITC's 2025 container shipping income was US$3,077.8m, or about 8% of the total market by value and about 8% by volume. That suggests its rates are broadly in line with the market average despite its small ships (our estimate).

Growth

Measure	Growth
Market volume, 2025 (CTS)	about 5%
Market volume, 2019–2023 (Drewry)	3.6% a year
SITC volume, 2019–2025	7.6% a year
SITC revenue, 2019–2025	14.0% a year (lifted by higher rates)

For planning we assume market volume growth of 3–5% a year over 2026–2030 (our assumption, to be tested in Task 2). Fixed against that assumption, three outcomes define SITC's path:

- **Fleet growth:** SITC's order book of about 66,000 TEU (Alphaliner), delivering largely in 2027–2028, would add about a third to current capacity before any disposals or returned charters (our estimate).
- **Share:** filling those ships at today's utilization would require SITC to keep gaining share, at a time when peers are growing their fleets faster.
- **Rates:** the alternative is lower utilization or lower rates.

For scale: each percentage point of a 48m TEU market is about 0.48m TEU. At SITC's 2025 average rate of US$753, that is roughly US$360m of revenue a year (our estimate). In 2025 SITC lifted about 21 TEU per TEU of fleet capacity (our calculation). At that intensity, 66,000 TEU of new ships could carry about 1.4m TEU a year, close to three share points of today's market, if all of it is deployed intra-Asia and none is offset by disposals.

Adjacent opportunity: logistics

In our judgement, the logistics business (forwarding, depots, warehousing, multimodal) addresses a larger and more fragmented market than ocean freight. SITC earned US$331m from it in 2025, plus joint-venture profits. We have not found a reliable figure for the Asian logistics market as SITC defines it, so we do not size it here.

How SITC is pursuing growth

- **New geographies:** extending the network into India, Bangladesh and Myanmar.
- **Sea-rail links:** China–ASEAN connections such as Qinzhou–Jakarta–Semarang.
- **Logistics:** joint ventures, such as Thailand in 2025.
- **Fleet renewal:** with more fuel-efficient ships.
- **Network density:** increasing frequency on existing lanes rather than adding marginal ones, as the fall from 82 to 74 lanes over the year to June 2026 suggests.

Source note: CTS via Portcalls and The Loadstar; Drewry via India Seatrade News; COSCO via Container News; SITC 2025 Annual Report and 2026 interim results; Alphaliner (25 Oct 2026). All TAM and serviceable-market figures are our estimates.

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9. RISK ASSESSMENT

Company-specific risks

1. Family control and connected-party dealings.

- *The risk:* the founder's family trust holds 40.49%, and the chairman holds about 9% more. Qingdao SITC, owned by the executives' families and employees, sits outside the group and trades with it (vessel sales and charters, and the mainland China–Taiwan route licenses).
- *Assessment:* the transactions so far are small and within the Listing Rules exemptions. The risk is that minority interests rank behind the family's in capital-allocation or related-party decisions. Likelihood low-to-medium; severity medium.
- *Mitigants:* independent committees, disclosed connected transactions, a non-compete deed.

2. Concentrated, long-tenured leadership.

- *The risk:* all four executive directors are career SITC managers, and the founder remains influential through his shareholding and title. The 2024 transition was an internal handover, with little visible bench outside this group.
- *Assessment:* likelihood low; severity medium if key people left.
- *Mitigants:* deep internal promotion culture and continuity of strategy.

3. Fleet renewal and newbuild execution.

- *The risk:* the order book (30 contracted ships; about 66,000 TEU on Alphaliner's count) arrives in 2027–2028, at a reported fleet average age of 10.6 years. Yard delays, overruns or a weak market on arrival would hurt returns.
- *Assessment:* capital commitments for vessels were US$763m at June 2026, about 0.8 times 1H26 cash. Likelihood medium; severity medium.
- *Mitigants:* fixed-price contracts with staged payments, and net cash.

4. China-centric network.

- *The risk:* most SITC lanes touch mainland China, and its origins, depots and connected companies are Chinese. A sharp slowdown in Chinese manufacturing exports, or measures that restrict Chinese-linked carriers or cargo, would hit SITC harder than more diversified peers.
- *Assessment:* likelihood medium; severity high.
- *Mitigants:* growing Southeast and South Asia lanes, and top-five customers below 30% of revenue.

5. Payout policy leaves a thin buffer.

- *The risk:* the policy allows payouts of up to 100% of distributable profit. FY2025 dividends were about 84% of EPS, and 2026 has brought an interim and a special dividend. A sudden rate collapse like 2023's (profit down 73%) would force dividend cuts and could squeeze newbuild funding.
- *Assessment:* likelihood medium in a downturn; severity medium for income-focused holders.
- *Mitigants:* minimal debt, and discretionary specials that can be dropped first.

Industry and market risks

6. Capacity influx into intra-Asia.

- *The risk:* regional peers have order books equal to about 64% of their fleets (our calculation from Alphaliner). Global carriers cascade larger ships into the region, and HMM and Chinese newcomers are expanding.
- *Assessment:* if volume grows 3–5% a year while capacity grows faster, rates and utilization fall. This is the central medium-term risk. Likelihood high; severity high.
- *Mitigants:* SITC's low unit cost and smaller order book.

7. Freight-rate cyclicality and the reversal of 2026's spike.

- *The risk:* SITC's earnings swing with rates. Its average rate fell 43% in 2023, and Q3 2026 rates (about US$865 per TEU, our estimate) reflect a fuel- and conflict-driven spike that Drewry already saw softening in July.
- *Assessment:* a return to 2025 rate levels would cut revenue per TEU by roughly 13% from Q3 2026. Likelihood medium-to-high; severity high.
- *Mitigants:* SITC's rates were steadier than the index in 2025, and the cost base is owned.

8. Decarbonization rules and fuel transition.

- *The risk:* IMO efficiency ratings (EEXI and CII), possible global carbon pricing, and customer emissions targets will raise fuel and capital costs. Older small ships are most exposed.

- *Assessment:* likelihood high over time; severity low-to-medium near term.
- *Mitigants:* fleet renewal with more efficient designs, and the ability to pass part of the cost on as surcharges.

Financial risks

9. Bunker fuel costs.

- *The risk:* fuel is the largest variable voyage cost. Singapore low-sulfur fuel roughly doubled between late February and late March 2026, and SITC's voyage costs rose 14.1% in 1H26.
- *Assessment:* surcharges recover fuel costs only with a lag and partially in a soft market, so a renewed spike or a fall in rates with fuel staying high would compress margins. Likelihood medium; severity medium.
- *Mitigants:* surcharges; no fuel hedges are disclosed.

10. Currency and interest-rate exposure.

- *The risk:* revenue is mainly in US dollars, but costs are spread across renminbi, yen and other Asian currencies. SITC had no foreign-exchange hedges at 30 June 2026. Interest income on its large cash balance falls as deposit rates fall (US$16.6m in 1H26, against US$19.8m in 1H25).
- *Assessment:* dividends are paid in Hong Kong dollars, whose US-dollar peg limits that leg of the risk. Likelihood medium; severity low.
- *Mitigants:* the natural hedge of US-dollar freight, and minimal borrowings.

Macroeconomic and geopolitical risks

11. Trade policy and tariff-driven rerouting.

- *The risk:* part of recent intra-Asia growth comes from supply chains relocating around US tariffs. Tighter rules of origin, anti-transshipment penalties, or a US–China settlement could slow or reverse some of these flows.
- *Assessment:* likelihood medium; severity medium-to-high.
- *Mitigants:* demand from Asian consumption and regional trade agreements is not tariff-driven.

12. Regional geopolitics and conflict.

- *The risk:* SITC's network runs through the Taiwan Strait and the South China Sea, and it holds mainland China–Taiwan services through a connected company. Conflict or sanctions there would disrupt core lanes. 2026 has also shown how Middle East conflict moves fuel costs, and an end to Red Sea diversions would release capacity into Asia.
- *Assessment:* likelihood low-to-medium; severity very high in a Taiwan scenario.
- *Mitigants:* none structural; Southeast Asian diversification helps only partly.

Source note: risks rest on facts cited in Sections 1–8. Likelihood and severity ratings are our judgement.

DATA NOTES AND SOURCE CONFLICTS

Where two sources disagree on a figure that matters, the conflict and the figure used are recorded below.

Claim	Source A and value	Source B and value	Selected	Why	What settles it
1H26 profit	Interim results: profit for the period US$680.5m	FilingReader: "profit" US$676.5m	Both, as defined	US$676.5m is profit attributable to shareholders; both are in the filing	Resolved
January 2026 newbuild order	HKEX, 30 Jan 2026: options for two vessels, US$76.36m	The Loadstar, 28 Jan 2026: six 2,700 TEU ships, US$229.5m	HKEX	Primary filing	Resolved
Order book	Company: 30 vessels contracted at 30 Jun 2026; TEU total not disclosed	Alphaliner, 25 Oct 2026: 37 ships, 66,232 TEU	Company count; Alphaliner TEU as estimate	Company figure is primary; Alphaliner may include orders below disclosure thresholds or charter newbuilds	Company vessel list or IR confirmation (Task 2)
Fleet average age	2025 Annual Report: 9.4 years (31 Dec 2025)	2026 interim: 10.6 years (30 Jun 2026)	Both, dated	A 1.2-year rise in six months with a stable fleet suggests a change of basis	IR confirmation
Intra-Asia market size	CTS (via The Loadstar): 45.8m TEU, 2024	Drewry (via India Seatrade News): 52m TEU, 2023	CTS for share calculations	CTS gives the 2024 level and the 2025 growth rate used here, and ties to The Loadstar's 8% share estimate	Primary CTS and Drewry definitions
IPO proceeds	FinanceAsia: HK$3.12bn	TradeWinds: "just under HK$3bn"	About HK$3.1bn (650m shares × HK$4.78)	Arithmetic from the reported price and base offer	Final allotment announcement
2025 rate growth	2025 Annual Report: +4.5%	Profit alert / The Loadstar: +4.4%	+4.5%	Audited annual report supersedes the earlier alert	Resolved

Still missing, for Task 2:

- the contract/spot mix and lane-level revenue (not disclosed);
- segment profit for logistics (not disclosed);
- primary CTS and Drewry datasets (not accessed);
- a full order-book list with vessel sizes and delivery dates.

DATA SOURCES

Company filings (HKEX, stock code 1308)

- Announcement of interim results for the six months ended 30 June 2026 (19 Aug 2026): https://www1.hkexnews.hk/listedco/listconews/sehk/2026/0819/2026081900237.pdf
- Interim Report 2026 (31 Aug 2026): https://www1.hkexnews.hk/listedco/listconews/sehk/2026/0831/2026083100610.pdf
- Unaudited operating statistics for the nine months ended 30 September 2026, and declaration of a special dividend (22 Oct 2026): https://www1.hkexnews.hk/listedco/listconews/sehk/2026/1022/2026102200242.pdf
- Annual Report 2025 (24 Mar 2026): https://www1.hkexnews.hk/listedco/listconews/sehk/2026/0324/2026032400390.pdf
- Announcement of annual results for the year ended 31 December 2025 (10 Mar 2026): https://www1.hkexnews.hk/listedco/listconews/sehk/2026/0310/2026031000179.pdf
- Annual results announcements, FY2018–FY2024: HKEX filings of 22 Mar 2019, 20 Mar 2020, 8 Mar 2021, 7 Mar 2022, 7 Mar 2023, 7 Mar 2024 and 10 Mar 2025 (e.g. https://www1.hkexnews.hk/listedco/listconews/sehk/2025/0310/2025031000192.pdf)

- Global Offering prospectus (19 Sep 2010): https://www1.hkexnews.hk/listedco/listconews/sehk/2010/0919/ltn20100919011.pdf
- Resignation of executive director; change of chairman, vice chairman and CEO (7 Mar 2024): https://www1.hkexnews.hk/listedco/listconews/sehk/2024/0307/2024030700137.pdf
- Shipbuilding contracts, four 2,700 TEU vessels (3 Aug 2025): https://www1.hkexnews.hk/listedco/listconews/sehk/2025/0803/2025080300015.pdf
- Exercise of options, construction of container vessels (30 Jan 2026): https://www1.hkexnews.hk/listedco/listconews/sehk/2026/0130/2026013000486.pdf
- Construction of container vessels, 1,100 TEU options (26 Mar 2026): https://www1.hkexnews.hk/listedco/listconews/sehk/2026/0326/2026032602094.pdf
- Exempted connected transactions: disposal and lease arrangement (27 Apr 2026): https://www1.hkexnews.hk/listedco/listconews/sehk/2026/0427/2026042702992.pdf
- Declaration of a special dividend (18 Dec 2025): https://www1.hkexnews.hk/listedco/listconews/sehk/2025/1218/2025121801008.pdf
- Monthly return of equity issuer, September 2026 (6 Oct 2026): https://www1.hkexnews.hk/listedco/listconews/sehk/2026/1006/2026100600225.pdf
- SITC website, service overview: https://www.sitc.com/

Market and fleet data

- Alphaliner Top 100, as published 25 Oct 2026: https://alphaliner.axsmarine.com/PublicTop100/
- Yahoo Finance, 1308.HK daily closes and HKD/USD (accessed 25 Oct 2026): https://finance.yahoo.com/quote/1308.HK/

Industry and competitor sources (trade press)

- The Loadstar, "Buoyant SITC increases intra-Asia market share and profits" (28 Jan 2026): https://theloadstar.com/buoyant-sitc-increases-intra-asia-market-share-and-profits/
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